

Pabst advises asking agents for the rules of the transaction – how many other buyers there are, whether they'll accept the highest offer that all parties put forward – and *en plus*, nominating some terms of your own to avoid a long tussle.

Cate Bakos also says it's important to establish how the haggling process is going to run. She says:

Asking the agent about how they handle the negotiation will give a buyer a lot of visibility as they navigate making an offer. Agents employ varying methods of negotiation when competing buyer interest arises.

Buyers should understand these unofficial 'rules' before they make their offer. Some enable a transparent back-and-forth, while others may host a 'best and highest' scenario, where a buyer gets only one chance to make their best offer.

Rules of engagement

- Name your price and – truthfully – inform the agent at what point you'll walk away (for example, 24 hours or 48 hours) if it's not accepted, and explain that you won't be making a higher offer.
- The offer you make must genuinely be your maximum, one that is informed by thorough research or a professional valuation.
- Be prepared for disappointment if your offer is not enough.

To be in with a chance, your offer has to be in sync with the market and the property's true value. There's no such thing as a bargain in real estate.

It's important not to muck the agent around. Pabst outlines how vital a big, decisive offer can be in this scenario:

Imagine you are a real estate agent at home having your dinner and you get a phone call from a potential buyer for a property with a reserve of \$800,000, and the buyer says, 'I'll give you \$600,000.' The agent will put the phone down, put their dinner in the microwave and sit back down. They are not going to take that offer to their vendor. However, if a buyer calls the agent and offers